

HR Attrition Analysis

Objective

To identify the key factors driving employee attrition and provide actionable business recommendations to improve employee retention.

Business Problem

Employee attrition increases hiring costs, training expenses, and productivity loss. The company wants to understand why employees leave and which groups are most at risk.

Key Insights

1. Overall Attrition Rate

- Overall attrition rate is **16%**.
- Approximately 1 in every 6 employees leaves the organization.

2. Overtime Drives Attrition

- Employees working overtime are more likely to leave.
- Overtime appears to be one of the strongest attrition drivers.

3. Low Income Employees Are at Higher Risk

- The Low Income group shows the highest attrition rate.
- Compensation may be influencing employee turnover.

4. Freshers Leave More Frequently

- Freshers have significantly higher attrition than experienced employees.
- Early-stage employee retention needs improvement.

5. Sales and HR Show Higher Attrition

- Sales and Human Resources departments experience higher employee turnover.
- Research & Development has relatively lower attrition.

6. Sales Representatives Have Highest Attrition

- Sales Representatives and Laboratory Technicians are among the highest-risk job roles.
- These roles may require targeted retention strategies.

7. Job Satisfaction Impacts Retention

- Employees with lower job satisfaction are more likely to leave.
- Employee engagement remains a key retention factor.

8. Work-Life Balance Matters

- Poor work-life balance is associated with increased attrition.
- Employees value flexibility and workload management.

9. Promotion Delays Influence Attrition

- Employees experiencing longer promotion gaps tend to leave more often.
- Career growth opportunities impact retention.

10. Age and Income Are Positively Related

- Income generally increases with age and experience.
- The correlation analysis shows a moderate positive relationship.

Business Recommendations

- 1.Reduce excessive overtime through workload balancing and resource planning.
- 2.Review compensation policies for low-income employees.
- 3.Strengthen onboarding and mentoring programs for freshers.
- 4.Conduct regular employee satisfaction surveys and engagement initiatives.
- 5.Create clear career progression and promotion pathways.
- 6.Focus retention efforts on Sales, HR, Sales Representatives, and Laboratory Technicians.

Conclusion

The analysis identified overtime, low income, low job satisfaction, poor work-life balance, promotion delays, and limited experience as the primary drivers of employee attrition.

Addressing these factors can help improve employee retention, reduce hiring costs, and enhance workforce stability.